

ISHAN TANKHA

HELPING HANDS

One common reason for people not filing their income tax return is that they don't know how to do it. Now a new initiative by the Finance Ministry can get over this hurdle. The Income Tax Department has authorised some 3,700 Tax Return Preparers (TRPs) to fill up income tax return forms for individuals and file them. The TRPs have been trained and certified by the Central Board of Direct Taxes (CBDT) and NIIT and will do everything from computing your tax liability to filling up the form, even filing your return for you. All this for a fee of up to Rs 250. That's a small price to pay for peace of mind.

What's in it for the CBDT? More people in the tax net, better tax compliance and correctly filled forms. By helping people file tax returns, TRPs would help increase income tax revenues. To meet this noble objective, the CBDT is even willing to give them a slice of the collection pie. The slice is thicker in case of new assesses (3 per cent of the tax collected). This drops to 2 per cent in the second year and then to 1 per cent in the third year. That's over and above the Rs 200-250 a TRP gets from the taxpayer.

But there is a bigger role for TRPs than filling up forms. As Finance Minister P. Chidambaram points out, there is tremendous scope for this "extended arm of the CBDT" to offer financial and investment advice to taxpayers. He says TRPs will soon be in great demand from insurance companies, mutual funds and banks who would want them to peddle their products through these tax preparers.

Where can you find a TRP? Simple. Log on to www.trpscheme.com or call toll-free numbers (18001806448 (MTNL/BSNL) or 18001026448 (Airtel) to get their contact details. So, don't wait till July 31 to file your tax return. Just get a TRP to do it right away.

by Rajshree Kukreti



“ Our tax laws may need to be simplified but our tax return forms are among the simplest in the world. ”

P. CHIDAMBARAM, FINANCE MINISTER

The best thing about the new ITRs is that they can be filed online. That also means no more attaching documents—Form 16s, TDS certificates, proofs of investments and school fee receipts—with your tax return. The flipside: more work for salaried people who now have to fill up the Form 16 details themselves. But then, the ease of filing returns from the comfort of your home more than makes up for that additional work.

In the years to come, e-filing would become a norm. The IT Department needs to ensure that its website is able to handle the increased load. Also, it needs to process returns quickly and remit refunds through ECS directly to taxpayers' bank accounts. That would curb the corruption and hassles faced by honest taxpayers as they wait for the excess money they paid in tax to come back to them.

COMPUTATION OF TAX LIABILITY

For male taxpayers and HUFs:



Income (in Rs)	Tax liability (in Rs)
Up to Rs 1 lakh	Nil
Between Rs 1 lakh & Rs 1.5 lakh	10% of income over Rs 1 lakh
Between Rs 1.5 & Rs 2.5 lakh	Rs 5,000 + 20% of income over Rs 1.5 lakh
Above Rs 2.5 lakh	Rs 25,000 + 30% of income over Rs 2.5 lakh

For female taxpayers



Income (in Rs)	Tax liability (in Rs)
Up to Rs 1.35 lakh	Nil
Between Rs 1.35 lakh & Rs 1.5 lakh	10% of income over Rs 1.35 lakh
Between Rs 1.5 & Rs 2.5 lakh	Rs 1,500 + 20% of income over Rs 1.5 lakh
Above Rs 2.5 lakh	Rs 21,500 + 30% of income over Rs 2.5 lakh

For senior citizens aged above 65



Income (in Rs)	Tax liability (in Rs)
Up to Rs 1.85 lakh	Nil
Between Rs 1.85 lakh & Rs 2.5 lakh	20% of income over Rs 1.85 lakh
Above Rs 2.5 lakh	Rs 13,500 + 30% of income over Rs 2.5 lakh

There is a 2 per cent education cess on total tax payable and a 10 per cent surcharge on total tax if income is above Rs 10 lakh.